Organisation of the Petroleum Exporting Countries (OPEC)

Asian Premium

- It is the extra charge being collected by OPEC countries from Asian countries when selling oil.
- It has roots in the establishment of market oriented crude pricing in 1986.
- There are 3 important benchmarks in global market, representing the cost of oil produced in respective geographies.

  Brent: Light sweet oil representative of European market

  West Texas Intermediate(WTI): US market

  Dubai/Oman: Middle East and Asian Market.
- However, US and Europe had an advantage because their markets and prices were based on future trading and reflected every trend in the crude market. On the other hand, Asia represented by Dubai/Oman do not have any derivative trading, doesn't have that edge.
- Hence, price charged from Asian countries remained $1-$2 dollar higher than that from Europe and the US. This price differential is termed as 'Asian Premium'.

About OPEC

- It is an intergovernmental organisation whose stated objective is to "co-ordinate and unify petroleum policies among Member Countries, in order to secure fair and stable prices for petroleum producers; an efficient, economic and regular supply of petroleum to consuming nations; and a fair return on capital to those investing in the industry."
- It is headquartered at Vienna, Austria.
- It was set up at the 1960 Baghdad Conference with Iran, Iraq, Kuwait, Saudi Arabia and Venezuela as founding members.
- It accounts for an estimated 44 percent of global oil production and 81.5 percent of the world's "proven" oil reserves.

International Atomic Energy Agency

- It is the world's central intergovernmental forum for scientific and technical cooperation in the nuclear field.
- It is an autonomous international Organisation within the United Nations system set up in July 1957 through its own international treaty, the IAEA Statute.
- The IAEA reports to both the United Nations General Assembly and Security Council.
- It works for the safe, secure and peaceful uses of nuclear science and technology.
- Contributing to international peace and security and the United Nations' Sustainable Development Goals.
- It is headquartered in Vienna, Austria. India is a member of IAEA.
- The objective of IAEA Safeguards is to deter the spread of nuclear weapons by the early detection of the misuse of nuclear material or technology.
- In 2009, an Agreement between the Government of India and the IAEA for the Application of Safeguards to Civilian Nuclear Facilities was signed. Then in 2014, India ratified an Additional Protocol (as part of its commitments under US-India Nuclear Deal) to its safeguards agreements with the International Atomic Energy Agency (IAEA).
- The AP is an important tool of the IAEA, over and above the provisions of the safeguard agreement, to verify the exclusively peaceful nature of a country's nuclear programme.

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